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RESEARCH ARTICLE

Explaining dynamics without change: a critical subsector approach to financial policy making

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This article uses a case study of financial sector policy making in East Asia in the post 2000 period to examine and help to resolve questions surrounding the origins of the phenomenon of ‘dynamics without change’ in public policy making; that is, the appearance of policy activity and alteration without affecting the overall nature and orientation of policy outputs or outcomes. This is a phenomenon which has challenged existing notions of policy dynamics which associate enhanced policy activity with fundamental changes in outputs and outcomes and is an issue which has concerned policy studies since Robert Alford’s seminal study of British health policy dynamics first noted the phenomenon in the mid-1970s. The article develops and extends the ideas put forward by Rayner *et al.* (2001, Privileging the sub-sector: critical sub-sectors and sectoral relationships in forest policy-making, *Forest Policy and Economics*, 2 (3–4), 319–332) that ‘critical subsectors’ or subsets of actors within a subsystem which control whether or not fundamental change occurs. Evidence from recent developments in the Asian financial sector is put forward supporting the argument that the uneven structuration and non-reciprocal nature of the relationships existing between components of a policy subsystem explain that policy’s propensity for change and stability. The discussion moves the general analysis of policy change, policy subsystems and their role in policy change forward from the existing orthodoxy of ‘dynamics with change’ and provides the foundation for a new research programme analysing intra-sectoral policy dynamics in an empirically robust manner.

Keywords: critical subsectors; policy subsystems; policy change; finance

Introduction: policy dynamics with and without change

Policy dynamics are a subject of much interest in the policy sciences (Capano and Howlett 2009). Many reasons and factors have been alleged to drive policy change, from changes in the partisan composition of government and shifts in ideas and discourses to ‘institutional friction’ or the ability of established routines and structures to ‘block’ change (Sabatier 1988, Baumgartner and Jones 1994, Howlett and Ramesh 1998, Richardson 2000, Wilson 2000, Lieberman 2002, Jones and Baumgartner 2005). In most of this work, the orthodoxy has been that increased policy activity is normally associated with changes in policy outputs and outcomes in a pattern of policy ‘dynamics with change’.

That is, most existing theories link output changes to changes in inputs, especially how new ideas and actors are able (or not) to enter into policy forums and affect their deliberations and outputs (Howlett 2002, Howlett and Ramesh 2002). Such ‘subsystem adjustment’ theories of change underlie many otherwise disparate analyses of policy dynamics from the punctuated equilibrium ones put forward by Baumgartner and Jones

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and their colleagues (Baumgartner and Jones 1993, Jones *et al.* 1998) to advocacy coalition models (Sabatier 1988).

A significant issue in this respect, therefore, is the phenomenon of ‘dynamics without change’ first observed and chronicled in Robert Alford’s (1972) classic study of British healthcare policy making. ‘Dynamics without change’ in this sense entails the fluid movement of actors and ideas within a policy subsystem but with very little effect on policy outputs or outcomes. This observation and phenomenon serve as an anomalous observation undermining most existing models and frameworks of policy change and stability and requires new thinking about policy dynamics and their origins.

Insider–outsider models of policy dynamics

A common pre-supposition in many models of policy making is that sets of policy actors are structured in an insider–outsider fashion and the nature of policy dynamics varies according to the configuration of this relationship. This is somewhat analogous to simple models of biological or chemical cells, with influential subsystem actors and ideas pictured as existing on one side of a kind of internal ‘membrane’ or boundary existing between them and less influential external actors (Craft and Howlett 2012).

In this way of thinking, policy decisions are taken on the ‘inside’ of a ‘subsystem’ of actors but can be more or less affected by events and occurrence, positions and ideas existing on the ‘outside’. That is, the boundary between the two can be more or less porous and either let new actors and idea through – thus enhancing the possibility of policy change – or preventing it – and thus accomplishing the opposite effect. A porous membrane results in new ideas and actors penetrating into the subsystem, fomenting change, while an impervious membrane – such as occurs, for instance when a ‘policy monopoly’ is constructed which limits the ability of new actors to penetrate across the membrane – prevents such flows and, *ceteris paribus*, promote stability (Baumgartner and Jones 1991, Howlett 2002).

Such insider–outsider accounts are common in the literature (Atkinson and Coleman 1992). For example, in one well-known model – the Advocacy Coalition Framework linked to the work of Paul Sabatier and his colleagues and students – there is an assumption that every subsystem is composed of at least two parts – a dominant coalition and an opposition one – with movement between groups dependent on adherence to certain core values (Sabatier 2007, Weible *et al.* 2009). In other models, subsystems are divided into sub-groups such as ‘policy communities’ or ‘policy networks’ whose activities and influence vary according to the frequency and type of interactions between members (Bressers *et al.* 1994, Rhodes 1996). In all these models, one sub-group consists of ‘policy insiders’ who interact with each other on a frequent basis and share similar sets of ideas, while in the second sub-group interactions are less frequent and a greater disparity exists among the ideas held by those members and those held by insiders.

This is a powerful model of policy dynamics but contains several problematic elements. For example, it is not exactly certain in this literature exactly what constitutes the boundary within a subsystem nor how the different components of the subsystem fit together to promote or prevent change. In most models, the assumption is that increased activity within each group – especially the ‘inside’ grouping – or across groups, is correlated with policy change, while fewer intra or inter-group dynamics are associated with ‘business-as-usual’ or policy stability.

This assumption or pre-supposition is an empirical one, in the sense that it requires confirmation through studies of specific policy making arrangement and processes. But a

third major problem with such models has emerges from precisely these studies. Alford, for example, argued in his 1972 work examining policy change in the UK health sector that fundamental change was for many years blocked by the British Medical Association which acted to preserve the interests of physicians in all policy arrangements, despite the active presence and flow of new actors and new ideas throughout the existing health policy subsystem. As a result, he noted that the overall pattern of sector activity was one less one of '(subsystem) dynamics with change', but rather one of 'dynamics without change'. That is, a great deal of change occurred in many areas of the subsystem including the inclusion of new actors and idea into 'insider' circles but large-scale reform initiatives failed to be implemented time and time again.

Critical subsectors: a more complex reality of policy change?

Alford's apparently anomalous finding *vis a vis* the dynamics-with-change orthodoxy can be interpreted in several ways, including that subsystem or network models of policy change in general are irretrievably flawed (Dowding 1995). One promising direction, however, is to suggest instead that subsystems generally have a more complex structure than often envisioned, involving not just a single insider–outsider dimension but rather a more complex arrangement of multiple components.

Alford's study already suggested such an explanation. He found the British health policy subsystem to be constituted by many separate sub-entities, from groupings of professions and administrators to funders and patients, and that rather than feature a single blocking barrier or boundary, specific sub-components by themselves were able to prevent fundamental change. In Alford's case, this involved certain sectors – in this instance the licensing and training sub-sector – which acted as 'critical' subsectors capable of blocking movements aimed at generating real reform to the subsystem as a whole.

A similar finding was made in the natural resource sector by Rayner *et al.* (2001). Examining the forestry sector in Canada, these authors also suggested that sectoral subsystems were constructed in a much more complex way than insider–outsider accounts alleged and developed the idea of 'critical subsectors' – or subsets of actors within a subsystem which can control whether or not fundamental change occurs – as a key explanatory variable underlying observed patterns of policy dynamics.

Very few studies have been undertaken into this possibility, however, and orthodox interpretations of policy dynamics linked to insider–outsider models continue to remain the norm in the discipline, notwithstanding their inability to deal with the phenomenon of 'dynamics without change'. This article uses a case study of financial sector policy making in East Asia in the post 2010 period to continue to examine and refine the issue of subsystem composition and its effects on policy dynamics and change. It develops and extends the ideas put forward by Alford (1972) and Rayner *et al.* (2001) regarding the uneven structuration and non-reciprocal nature of the relationships existing in a subsystem, using the idea of 'subsystem criticality' to explain both a sector's propensity for change and the general phenomenon of 'dynamics without change'.

Specifically, it finds that sub-sectoral dynamics differ across three financial subsystems in Asia – Singapore, Hong Kong and Shanghai – with each jurisdiction featuring a different configuration of sectoral and sub-sectoral components and also a slightly different pattern of 'criticality' within it. Thus in both Hong Kong and Singapore, banking emerged as a critical subsector that deeply influences overall financial sectoral development. However, subsector 'criticality' differs across the two cases as in Singapore the banking subsector is capable of initiating and blocking change due to its links with

government regulators while in Hong Kong this has occurred through its central place providing liquidity to the financial system. And in contrast to these two centres, financial development in Shanghai is largely driven by top-down sectoral influence, with subsectors such as banking unable to attain significant critical status vis a vis the influence of party and other governmental bodies.

In addressing sectoral influence and expanding on the notion of subsector ‘criticality’ in this way, these cases studies moves the discussion and analysis of policy subsystems and their role in policy change forward from the existing orthodoxy. This focus on sectoral and sub-sectoral dynamics provides the foundation for a new research programme analysing sectoral policy dynamics in new, more accurate, ways.

Problems with existing subsystem models of policy making: the role of sectors and sub-sectors in contemporary policy analysis

As McCool (1998) argued, the ‘subsystem’ family of concepts or method of identifying and grouping together key policy actors, ideas and interests has been commonly employed by policy analysts and scholars in the effort to help make sense of complex policy dynamics and histories.

At first glance, it may seem intuitively obvious that public policy is divisible into a finite number of more or less clearly defined ‘fields’ or ‘sectors’, such as economic policy or foreign policy, with a government’s organizational structure similarly demarcated. Subsystem analysis is now an indispensable tool for modelling the complexity of modern policy making (Daugbjerg 1998) and many, if not most, policy studies adopt this unit of analysis (Sabatier 1988, Baumgartner and Jones 1994, Howlett *et al.* 2009). However it is by no means certain that ‘policy’ is solely developed within functional or agency-defined issue areas or ‘sectors’. And even if this ‘sub-government’ approach is appropriate, it is often not clear exactly which governments efforts and actions constitute a sector and where one sector ends and another begins (Laumann *et al.* 1992). In fact, such titles and units may impose a misleading level of order and coherence onto policy making which may not exist in practice (Smith *et al.* 1993, Bickers and Stein 1994, Dimaggio 1998).

Contemporary developments in both public policy studies and policy making on the ground increasingly have called the utility of such basic units of analysis into doubt as overlapping responsibilities and blurred lines of authority between agencies and between governments and non-governmental actors have become commonplace (Jochim and May 2010). Nevertheless, grouping-related policies together by topic area – ‘finance’, ‘health’, ‘economic’ and others – in which specific kinds of key policy actors develop expertise and relationships remains a key methodology and unit of analysis in policy studies. (Kernaghan 1993, Freeman 1997).

It is hence very common to find policy analysts and commentators identifying broad policy sectors as places where an empirically observable set or ‘subsystem’ of actors defines a general set of rules and norms for commonly accepted characterizations of policy-relevant issues or concerns (Knoke and Laumann 1982, Bressers *et al.* 1994, Wasserman and Faust 1994, Brandes *et al.* 1999). Although many difficulties exist in this enterprise as well, from accurately defining the sectoral boundary to questions about the overall size and membership of subsystems (Howlett and Maragna 2006), it has successfully resisted alternate visions such as labelling policy areas by tool utilized (Lowi 1972, Salamon 1989) or by the nature of the political regime in which they are formulated (King 1976, Rose 1993, Jochim and May 2010).

The relationship between the part and the whole: how many sub-sectors make up a sector?

Even assuming these problems can be overcome, one critically important issue which has not received as much attention as it should within this approach, and one which is key to understanding the role of subsystems in policy dynamics and policy change, is the question of the decomposition of sectors into component parts, and that of the nature of the relationships between the parts and the whole.

As set out above, there has been a distinct tendency to decompose a sector into ‘insiders’ and ‘outsiders’ based on notions or assumptions about the influence of specific sets of actors on policy outcomes. But the structure of policy sectors is more complex than this. It has always been clear, for example, that most ‘sectors’ are composed of a number of ‘sub-sectors’ – such as highways policy within a larger transport category or renewable energy within a larger energy unit. And a field or sector such as ‘forest policy’ can also be divided into several ways: producer subsectors, geographical subsectors, and subsectors organized around enduring issues such as tenure or aboriginal rights and title (Cashore *et al.* 2001).

Moreover, the exact relationship existing between a sector and its ‘sub-sectors’ has not been clearly established. It is also not clear exactly what the relationship is between sub-sectors; if these are tightly bound together as much existing insider–outsider-based subsystem theory would have it, or only tangentially related, and, more to the point, if there is a hierarchy of relations among subsectors.

That is, the structure and membership of sub-sectoral policy networks may substantially overlap with, or be quite distinct from, each other; for example, with the former being the case in the harvesting and milling subsectors of the forestry sector which are very closely related, while the latter is the case in the situation of the shipping and more general transport sector which share much fewer commonalities (Hosseus and Pal 1997).

Past approaches to understanding the sector–subsector relationship: top-down versus bottom-up approaches

These relationships and the configuration of the sector and its components are important questions which must be answered if larger questions such as ‘at what level does change originate?’ and ‘what is the relationship between sectoral and sub-sectoral change processes?’ are to be addressed.

An often implicit approach to answering the latter question has been to simply assert a ‘top-down’ model: that sub-sectoral activities are ultimately determined by sectoral ones. This ‘top-down position’ was articulated by Martin Smith, for example, in his 1992 examination of the relationship existing between the British agricultural sector and its subsectors (beef, dairy, grains and others). He viewed this relationship as one in which a ‘primary policy community’ set ‘the rules of the game’ and various secondary policy communities acted ‘under license’ from the primary community (Smith 1992).

Against Smith’s claim, Maloney *et al.* (1994) articulated a more ‘bottom-up’ position, arguing that sectoral activities were determined by sub-sectoral ones. Pointing to the increasing fragmentation of sectors such as the UK agricultural policy sector, they noted the way in which specialized producer interests predominated in specific ‘issue niches’, allowing for the intrusion of new interests such as food retailers and consumers into policy deliberations. Given these developments, they argued a ‘bottom-up’ view in which subsectors operated with increasing autonomy from sectors and independently determined

the overall rate and content of sectoral policy change was appropriate (Maloney *et al.* 1994).

These divergent views led observers like Marsh (1998) to reject the view that the nature of sectoral and sub-sectoral relations could be determined *a priori*, and to conclude instead that it is an empirical question whether there are networks at both levels and, if so, what are the relationships between the networks at the two levels. However, it remained unclear exactly what the mechanism was which resulted in either situation occurring (Hedstrom and Ylikoski 2010).

Cavanagh *et al.* (1995) attempted to specify this mechanism in furthering the top-down model. In their view, sectoral control over sub-sector activities occurred due to the critical advantages ‘insiders’ had in blocking ‘outsiders’. Thus they argued while new interests had appeared in British agriculture, the response of the sectoral policy community had been to deny access to any groups that failed to play by the existing rules. Agricultural policy in Britain, they argued, had changed but as little as possible, accommodating only selected new sub-sectoral interests which were compatible or congruent with the existing policy regime, thus preserving the integrity and hegemony of the traditional sectoral-level policy community.

On this basis, Cavanagh *et al.* argued that a bottom-up emphasis on the sub-sectoral level produced a distorted picture of the constraints that existed in the policy process, failing to account for the structural power ‘critical’ sectoral policy networks could exercise over their subsectors. Analytically, they argued, in an analysis redolent of Alford’s, a pattern of ‘dynamics without change’ existed in this sector and a bottom-up approach which emphasized the effects of changes in sub-sectoral relations and activities upon policy sectors failed to account for the critical role played, overall, by sectoral policy communities in retaining policy stability even in sectors marked by considerable sub-sectoral ferment.

Moving beyond insider–outsider and top-down versus bottom-up models: critical subsectors and the idea of ‘criticality’

The discussion of ‘critical’ policy actors capable of blocking change helped to advance the discussion and analysis of policy dynamics in a way which was compatible with Alford’s observation of ‘dynamics without change’. However as Smith, and Cavanagh *et al.* argued, this notion of ‘criticality’ is not restricted *a priori* to a top-down sectoral view. That is the nature of inter-subsectoral and inter-sectoral linkages remains an important consideration, and the extent and kind of these linkages may be the determining factor affecting the rate and type of change present in the overall sector.

Critical roles blocking or allowing change to occur can be played not only by sectors but by sub-sectors. In his work on British and Norwegian approaches to health and safety issues on North Sea oil rigs, for example, Cavanagh (1998) argued that policies in the health and safety subsector were clearly ‘shaped’ by decisions about production and depletion taken in other subsectors. These decisions affected network membership and gave an important role in determining the extent and timing of changes to oil companies in the British case, where rapid exploration and exploitation was the order of the day. While in the Norwegian case, where macroeconomic pressure for rapid exploitation was not so severe, on the other hand, the oil industry power to control intra-sectoral dynamics was not so central. In this case, more inclusionary networks were created and safety issues found a more prominent place on the sectoral policy agenda.

This discussion of ‘criticality’ was continued by Cashore *et al.* (2001) in their examination of forest policy in British Columbia in the 1990s. Their study also used the conception of the significance of critical inter-subsectoral linkages to explain why their finding of a pattern of much rhetorical but little actual change in the sector over more than a two decade period. They found forest policy making to have evolved through the interaction of distinct identifiable subsectors dealing with, for example, land use, forest practices, timber supply, tenure, employment, pricing, and first nations. While some policy areas saw key decisions taken at the sectoral level affecting sub-sectors, in others, there were sufficient linkages between specific ‘critical subsectors’ that decisions taken in one or a few could constrain or facilitate outcomes in the other subsectors, alter the impact of sectoral-level initiatives and affect the overall nature of the sector. This was especially the case with subsectors dealing with tenure and harvesting rights which were capable of blocking or fomenting change in many other subsectors.

These works all suggest that these relationships of ‘criticality’ influence whether or not policy dynamics result in policy change and, if they do, in what type of change. This helps to reconcile the problem of explaining the phenomenon ‘dynamics-without-change’ within a subsystem framework. That is, they suggest that multiple changes can occur in subsectors and produce change (the ‘dynamics-with-change’ orthodoxy) but also that the dynamics of non-critical subsectors are less significant than in critical ones, meaning such dynamics can occur without fundamental policy change; resulting instead in the ‘dynamics without change’ phenomenon noted by Alford, Jordan, Maloney and McLaughlin and others.

This way of thinking and modelling policy dynamics generates several hypotheses which can be subject to empirical testing. The first is that where critical subsectors exist, policy development in non-critical subsectors will be constrained to those initiatives that do not conflict with the policy directions set in the critical subsector(s). The second and related one is that radical policy change in a sector can occur only through one or both of two key processes. First, there can be cases where radical change occurs in the critical subsector itself. Second, there can also be instances of the creation of new critical subsectors, which would also result in the reconfiguration of the sector.

Moving the critical subsector model forward: the dynamics of Asian financial centre policy making

In what follows, both hypotheses are examined against empirical evidence from the development of financial policy in Asia, specifically in the major Asian centres of Singapore, Hong Kong and Shanghai. In particular, we examine these three cases to test if ‘critical’ sub-sectors exist and determine what influence they have on sectoral dynamics. These cases are useful as they represent three ‘most similar’ cases of recent efforts to enhance the financial sectors of the region into global players, while exhibiting a range of different governmental and institutional arrangements. The cases hold the basic structure of the sector constant while allowing for some variation in factors which can plausibly influence the interactions of sector and sub-sectoral actors (Ragin 1987).

As shall be discussed below, Hong Kong, Singapore and Shanghai exhibit varying degrees of subsectoral criticality but all reveal the utility of such a nuanced sub-sectoral analysis for explaining dynamics in each jurisdiction; including both instances of ‘dynamics-with-change’ and those without. While Shanghai’s banking subsector is largely dominated by state agencies and state-owned banks and hence has not been able to attain a significant measure of criticality, banking has emerged as critical subsector in both

Singapore and Hong Kong but for different reasons which are also revealing of the mechanisms of ‘criticality’ in general.

Background

The rapid financialization of economic and social life as well as the growing complexity of financial instruments have resulted in the emergence of distinct subsectors within the financial industry (Williams 2009, 2012). These include traditional subsectors such as banking, insurance and equities, as well as newer and more complex subsectors such as wealth management, Forex, structured finance, and derivatives. The sectoral–sub-sectoral structure of the finance sector is illustrated in Figure 1.

Intra-sectoral and inter-sectoral linkages have also proliferated, particularly with the increasing participation of banks in non-banking financial transactions (Williams 2009, 2012). For instance, banks have been relying on the sale of insurance or structured finance products as key sources of revenue.

In all three cases, financial sector development was initially a top-down and sectorally driven endeavour. This is particularly the case in Shanghai and Singapore, but also Hong Kong. For instance, Shanghai’s banking sector only truly took off with the central government’s preferential policies that established the Pudong New Area and served to attract foreign banks (Yatsko 2001), while its stocks, bonds, currency and commodities exchanges were similarly established under the central government’s ‘Shanghai-leaning’ policies (上海市《迈向21世紀的上海》課題领导小组编 Shanghai City <Shanghai in the 21st Century> Discussion Group Editorial Group 1995). In two of the three cases, however, this changed over the last two decades. The specific development of each case is set out in turn below.

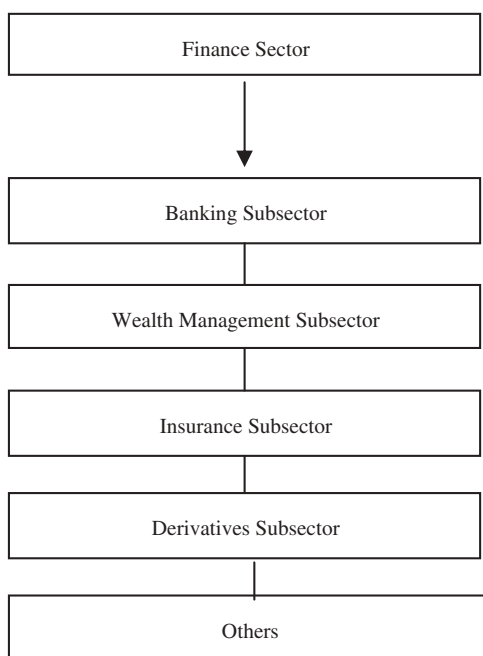


Figure 1. Financial sectoral structure.

Singapore

Singapore's initial development as a financial centre saw top-down sectoral influence over subsector development, particularly through the government's efforts at 'niche creation' (Lee and Vertinsky 1988), which involved identifying emerging financial subsectors with high growth potential and providing tax and fiscal incentives to stimulate the growth of these subsectors (Tan 2006, p. 248). This resulted in the establishment of key subsectors such as the Asian Dollar Market (ADM), fund management, commodity futures (Lessard 1994, p. 203, Tee 2003, p. 96) and more recently, the offshore RMB market (Menon 2013a).

For instance, the MAS had developed Singapore's asset management industry by deliberately growing the bond market and liberalizing the Singapore dollar; after the government had identified asset management as a potential growth industry and sought to establish a market benchmark in the form of a develop market for bonds in order to assist the takeoff of asset management (Koh 2013). However, unlike Shanghai where this top-down, sectoral influence over subsector development remains a completely state-driven affair, this is no longer the case in Singapore. At a general level instead researchers have noted how financial sector development in Singapore is currently driven by a 'governing elite' that comprises both state and industry actors working together to 'co-create policies' through the cultivation of strong policy-relevant associations and relationships (Hamilton-Hart 2002, Woo 2015).

This governing elite serves to establish and enforce the various sectoral rules and institutions that guide and constrain subsector development. These include, but are not restricted to, establishing the MAS's bank licensing system and its regulatory infrastructure, incorporation of individuals from the MAS and government-linked bank DBS (Hamilton-Hart 2002, pp. 83–84), financing smaller financial institutions through DBS loans (Tan 1999, pp. 17–18), and mandating the appointment of a 'nominating committee' comprising former public officials in local banks to ensure their adherence to the national interest (Monetary Authority of Singapore 1999).

Thus subsectors within Singapore such as banking and asset management have grown to attain a significant measure of criticality, despite the initial prevalence of sectoral influence in the city. Banking in particular has grown into a particularly influential and systemically important subsector which has taken over from the government in providing liquidity and self-regulation of much industry activity. As an IMF risk assessment report shows, Singapore's financial sector is now dominated by the banking sector, with the city's three major domestic banks holding 30% of Singapore's banking system assets and hence being of systematic importance (International Monetary Fund 2013).

The banks play a key role in ensuring competitiveness and stability of sector in Singapore. At the sectoral level, the MAS's financial policies are aimed at attaining both financial system stability and promoting Singapore as an attractive location for banks (Monetary Authority of Singapore 2004), which requires the authority to balance between enforcing strict regulations and providing a suitable environment for financial innovation (Koh 2013). The influence of the banking subsector on financial policy formulation is direct and exercised through the establishment of close 'policy relations' among bankers and policymakers, fostered by the MAS's extensive consultative processes (Hamilton-Hart 2002, p. 99, Woo 2015). As noted by the current MAS managing director, almost all of the MAS's financial regulations and policies go through a period of extensive consultation before they can be

implemented, giving the industry a de facto veto over policy change (Menon 2013b). More importantly, the establishment of close policy relations through industry consultation allows bankers to ‘co-create’ regulations by pushing for policies that favour their business interests (Former Senior Regulatory Official 2013, Fund Manager with a US Asset Management Firm 2013).

These close policy relations reveal the banking subsector’s position as a critical subsector in the Singapore case. Through them, the banking industry is able to influence financial policy at the sectoral or national level. This affects other subsectors by shaping the regulatory environment within which other financial institutions operate around banking interests. ‘Criticality’ in the case of Singapore is hence a factor linked to the nature of industry participation in the policy process. Through close state-industry policy relations, the subsector is able to exert a disproportionate level of influence over sectoral development. Influence over the policy process through close relations with government is therefore an important aspect of subsector criticality in this case.

Hong Kong

Importantly, as the Singapore case showed, while the initial development of subsectors may involve heavy sectoral influence and guidance, they may also grow in influence over time, effectively becoming critical subsectors that are able to exert an influence over other subsectors or even over the sector as a whole.

The extent of sectoral versus subsectoral influence over financial sector policy and development is thus a dynamic process that varies with contextual and temporal elements. In some instances, however, historical and political economic conditions can allow critical subsectors to emerge from the outset. These subsectors are then able to influence and drive sectoral development in a more bottom-up process of the kind suggested by Maloney *et al.* (1994).

This is particularly the case in Hong Kong, where banking emerged very early as a critical subsector in the evolution of the territory’s financial services sector. The emergence of banking as a critical subsector was due to the early Hong Kong government’s *laissez-faire* approach to financial governance, which allowed various financial subsectors, not just banking, to establish themselves relatively unencumbered by state or sectoral interference and, more to the point, to prevent that encumbrance from emerging in later years.

In general, private actors in Hong Kong tend to lead economic and business development through their representation in the Executive and Legislative Councils (Enright *et al.* 1997, p. 32). Industry interests from the finance and insurance sectors are typically represented in the Legislative Council’s ‘functional constituencies’ (Loh 2006) and are able to affect policy outcomes and business activities in both their own and other sectors. As noted by a former HKMA executive director, regulations in Hong Kong are first and foremost geared toward stability in the banking subsector, with the stability and attractiveness of the overall financial sector seen as secondary or even dependent on banking stability (Topping 2013).

Given its high concentration of banks, Hong Kong’s banking subsector drives the city’s overall development as a leading financial centre, especially by providing a wide range of financial services that often extend beyond traditional banking functions, particularly in terms of Renminbi (RMB) trade settlement and other RMB-related financial services with the Mainland (Hong Kong Trade Development Council 2014). This proliferation of RMB business among banks resulted in moves by the

HKMA to improve its regulatory oversight of banks' financial activities on the Mainland (Hong Kong Monetary Authority 2014).

As such, developments in the banking subsector impact the HKMA's regulatory policies and affect Hong Kong's overall financial sectoral development. This also entails significant inter-subsectoral impacts, however, since policies and regulations that prioritize the health and stability of banking subsector impact other non-banking financial subsectors, especially with the HKMA seeking to ensure coherence in its regulatory approach across subsectors such as insurance and stock trading.

Shanghai

When viewed in terms of policy relations and in contrast to the cases of Singapore and Hong Kong, Shanghai's banking subsector does not enjoy a similar level of independence and criticality. To be sure, the structure of Shanghai's banking subsector impacts China's overall economic growth by providing a crucial source of national revenue (Lin and Sun 2009). And this makes it a subsector that is of strategic importance to China. However, banking in Shanghai has not attained critical status for two main reasons. First, unlike Hong Kong, political power remains concentrated within Beijing, while Shanghai merely operates as a commercial centre (Lai 2012). Given that the various financial regulatory agencies are headquartered in Beijing, unlike in either Hong Kong or Singapore, Shanghai possesses little influence over financial policies at the sectoral and national level.

Secondly, Shanghai's rapid economic and financial development have been seen as a result of national-level, rather than local-level, policies and investment (Zhang 2003). Unlike in Hong Kong or in the more recent era in Singapore, the governance and development of Shanghai's banking subsector therefore remains a matter of strong state intervention, that is top-down sectoral influence. For instance, state regulatory organizations at both the central and municipal level exert a strong influence over the financial activities and operations of banks. Furthermore, state-owned banks dominate Shanghai's banking industry at the expense of private local banks. These state-owned banks include the 'big four' state-owned banks, namely the Bank of China, the China Construction Bank, the Agricultural Bank of China, and the Industrial and Commercial Bank of China as well as three policy banks, namely the China Development Bank, the Import and Export Bank of China, and the Agricultural Development Bank of China.

More importantly, private local banks are crowded out of Shanghai's banking subsector by virtue of the strong political connections of state-owned banks, while foreign banks are unwilling to challenge state-owned banks, choosing instead to cooperate with them and abide by local politics (Chong 2013). State-owned banks are seen as 'mechanisms' of economic governance and control in Shanghai by the central government (陈 1993), especially through their provision of special development loans (Wei and Leung 2005, p. 22). As a consequence, Shanghai's banking subsector has not been able to attain the level of independence required to match the criticality that is present in the sub-sector in both Singapore and Hong Kong.

Analysis and conclusion: moving the critical subsector model forward

In the case of Singaporean and Hong Kong finance policy, just as was the case in the Canadian forest policy case investigated by Rayner *et al.* (2001) and agricultural and

other policy areas in the UK (Maloney *et al.* 1994), even when the sector and many sub-sectors are in turmoil, stability and consistency of effort is the norm. This pattern of ‘dynamics without change’ is explicable due to the presence of critical subsectors in these sectors. In Singapore, the banking subsector exerts strong influence over the financial policy process by virtue of industry participation in the government’s consultative processes and membership within an informal governing milieu. In Hong Kong, a laissez faire approach to financial governance has allowed the banking sector to develop largely independent of state influence to become a major driving force for overall financial sector development. As a consequence, financial policies are geared toward banking subsector development and reflect the interests, needs and ideas found in that sector.

In two of the three cases examined – Hong Kong and Singapore – policy stability results because of the key structural roles played by specialized, or nodal, critical subsectors which occupy a central location allowing them to constrain policy development in other subsectors and hence constrain the overall direction of sectoral developments toward the maintenance of their interests. These critical subsectors play an important role in organizing both sectoral and sub-sectoral activities and discourses.

The findings with respect to the role played by critical banking subsectors in two East Asian finance policy cases are therefore very similar to those found by Rayner *et al.* (2001) in their case study of British Columbia forest policy. There a similar role was found to have been played by the tenure and timber supply subsectors which most directly impacted the industrial health and profitability of the industry and hence could exercise a stabilizing or ‘blocking’ effect on the entire sector, even when other subsectors such as land management and forest practices were undergoing rapid change.

This is unlike the situation in Shanghai, however, where significantly, the same effect occurred due to the top-down sectoral level control exercised by government. In the case of financial sector policy in Hong Kong and Singapore, the banking subsector affected overall sectoral development and even the development of other financial subsector by virtue of its sizable contribution (centrality) to financial centre revenues and/or its influence over financial policy processes (criticality). In contrast, central economic planning and top-down sectoral influence have hampered the development of critical subsectors in Shanghai.

The case studies thus illustrate how concept of a ‘critical subsector’ helps to explain how overall sectoral policy stability can result despite much turmoil in a sector as a whole – the phenomenon of ‘dynamics without change’ noted by Alford and others – and also the limitations of this mechanism. That is, the cases of Hong Kong and Singapore have shown how critical subsectors can emerge and drive policy change by determining the nature of financial policies but the Shanghai case shows the limits of this analysis when subsectors lack the autonomy required to attain ‘critical’ status.

These findings thus reinforce the claim of Cashore *et al.* (2001) that the nature of sectoral and sub-sectoral linkages and effects is more complex than suggested by earlier theorists, both those who fail to differentiate sector and subsystems beyond insider–outsider logics and those who would adopt either an exclusively top-down or bottom-up or even a purely critical subsector perspective on sector–subsector relationships. Our analysis suggests that the relationships between sectors, subsectors and

policy change is neither one-way deterministic, nor even a simple reciprocal or dialectical one, but is rather a nuanced, structural one in which *some* subsectors influence sectors and sub-sectors more than others for a variety of historical and institutional reasons. It suggests that the appropriate analytical strategy is not to privilege *all* subsectors, as Jordan *et al.* suggested, but only some.

Further investigations along these lines, however, promise to add a great deal to the understanding of the fundamental nature of these significant policy relationships. The analysis presented here, for example, suggests several fruitful routes for future research on the subject. First, more information is required about what differentiates a critical sub-sector from a non-critical one and how this differentiation occurs. The three case studies presented here suggest the nature of the relationship between a sector and government regulators is key, and that this relationship can take on one of several possible forms.

Second, it would be illuminating to establish how these relationships change and why? Given the current structural shifts in the global financial regulatory regime, for example, how will critical subsectors in Hong Kong, Singapore and Shanghai respond to these shifts and will this affect their 'criticality'?

Third, the conditions under which sectors can continue to affect subsectors require greater examination. The British Columbia forestry case showed that the annual allowable cut (AAC) and tenure subsectoral were critical and exercised a constraining influence on other subsectors and, hence, on the sector as a whole. However, even if it would be costly, it is not entirely beyond the scope of key sectoral actors, especially governments, to alter the nature of these, or any other subsector through legislation or regulation and some aspects of such top-down dynamics were visible in the Hong Kong and especially Shanghai cases cited above (Egeberg 1999).

Thirdly, this analysis also suggests that there may be useful analogies which can be drawn from other works which have dealt with multi-level systems and their operation. As is the case with works which deal with relations between states and international organizations and actors (Evans *et al.* 1993, Keohane and Milner 1996, Milner 1997, Coleman and Perl 1999), or those which deal with relations within states between levels of government (Scharpf 1994, Grande 1996, Hooghe 1996), policy outcomes in a sector may best be explained not only simply by focusing on the relations existing between different levels, but also by examining the capacity of different sub-systemic actors within each level to influence others (Putnam 1988, Tsebelis 1991, Scharpf 1997).

Finally, the issue of sub-sectoral and sectoral spillovers and linkages with critical subsectors needs examination. While we have discussed the role of critical subsectors in financial sector development here, it is important to note as well that these critical subsectors influence other non-financial sectors. For instance, demands for buildings with larger floor space by banking industry actors in Singapore have resulted in the development of new financial districts such as the Marina Bay Financial Centre, which required land reclamation and coordination with the private sector (Koh 2013). As such, developments in the banking subsector drove urban planning and private real estate development. In Hong Kong, the Hong Kong and Shanghai Bank (HSBC), along with other commercial banks, has played a significant developmental role by financing local companies and industrial projects, 'operating almost as a development bank' (Enright *et al.* 1997, p. 93). In this instance, participants of the bank subsector contributed to industrial policy outcomes.¹

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Note

1. Linkages may also exist between unrelated sectors and subsectors. For instance, the MAS has engaged in 'non-domain policy making' by using macroprudential policies to manage housing and transport costs, in the process contributing to the Singapore government's efforts at lowering the cost of public housing and reducing its car population (Woo 2014, pp. 7–9). This constitutes attaining transport and housing policy goals through financial policy instruments. The influence of critical subsectors may therefore extend across sectors. Such instances are largely lacking in Shanghai, however, where state sectoral planning over-rides such possible sub-sectoral influence.

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